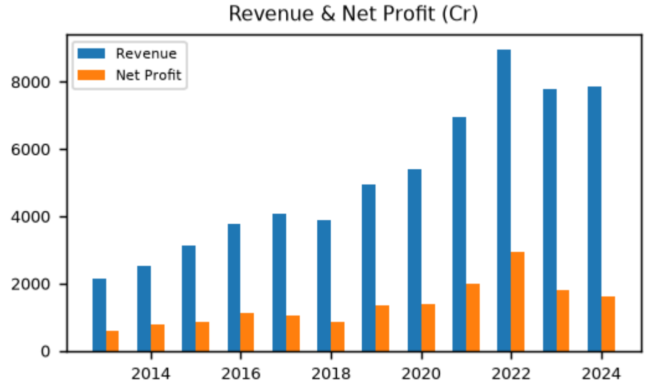
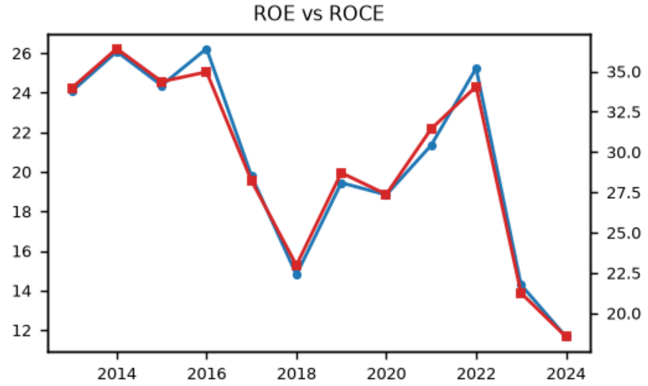
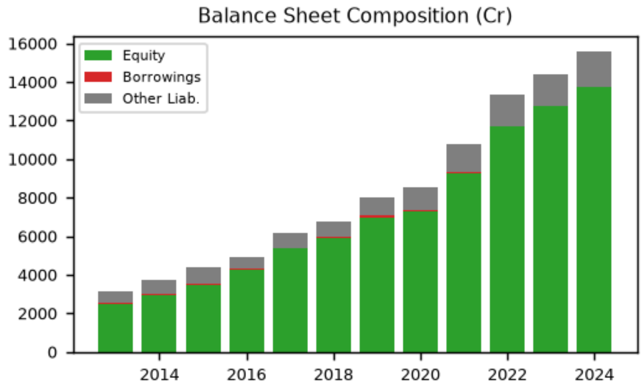
Divis Laboratories Ltd (DIVISLAB)

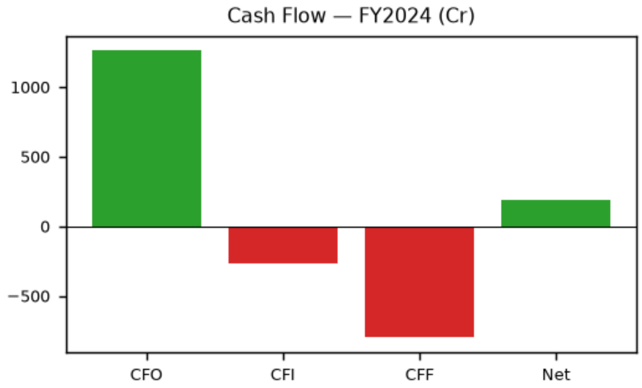
Healthcare · Fiscal Year 2024

ROE 11.7%	**ROCE** 18.5%	**Net Profit Margin** 20.4%
D/E 0.0	**Revenue CAGR 5yr** 9.7%	**FCF (Cr)** 992









Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

Capital Allocation: Reinvestor